



MINUTES

SPECIAL MEETING OF THE CITIZENS STREET OVERSIGHT COMMITTEE

Monday, July 15, 2019, 7:00 p.m.

Staff Liaison

Public Works Department
Yvetteh Ortiz | (510) 215-4382
yortiz@ci.el-cerrito.ca.us

El Cerrito City Hall
Hillside Conference Room
10890 San Pablo Avenue

This Meeting Place is Wheelchair Accessible

7:00 p.m. CONVENE SPECIAL MEETING Chair Matthew Kelly called the meeting to order at 7:00 p.m.

1. ROLL CALL

Present: Chair Matthew Kelly; Vice-Chair Vanessa Hill; Committee Members Paul Allen and Prachi Amin **Absent:** Committee Member Kathy Fleming

Also Present: Staff Liaison Yvetteh Ortiz; Ahmed Badawi, Badawi & Associates

2. ORAL COMMUNICATIONS FROM THE PUBLIC

Remarks are typically limited to three minutes per person and are limited to items on the special meeting agenda only. Remarks will be heard at the time the item is discussed.

No communications from the public. Colter Hill was present.

3. APPROVAL OF MINUTES

Review and pass a motion to approve minutes for the Committee meeting of November 14, 2018

Moved/Second: Vice-Chair Hill/Committee Member Allen

Action: Passed a motion to approve the minutes for the Committee meeting of November 14, 2018

Ayes: Chair Kelly; Vice-Chair Hill; Committee Members Allen and Amin

Noes: None

4. FISCAL YEAR 2017-18 COMPREHENSIVE ANNUAL FINANCIAL REPORT (CAFR) AND AGREED UPON PROCEDURES REPORT (AUPR)

Review the Fiscal Year 2017-18 CAFR as it pertains to Measure A Street Improvement Fund and the AUPR from the City's auditor.

Staff Liaison Ortiz introduced the Agenda item and materials, and Ahmed Badawi of Badawi & Associates, the City's Consulting Auditor. Mr. Badawi presented the CAFR and AUPR and provided a handout, attached herein, and indicated that the Street Improvement Fund is audited as a non-major governmental fund within the overall city annual financial report rather than separately. He answered Committee Members' questions pertaining to proceeds, defeasance/refinancing,

and debt service related to the original 2008 sales tax bonds. He also answered questions about applicability of the agreed upon procedures required by the master agreement for the bonds. Staff Liaison Ortiz answered Committee Members' questions regarding Public Works personnel expenses not related to capital projects and use of consultants for project and construction management.

The date when the Committee's annual report would be presented by the Chair to City Council was discussed as either being scheduled on August 20, 2019 or September 17, 2019.

Mr. Badawi left the meeting at approximately 7:30 p.m.

Moved/Second: Committee Member Allen/Committee Member Amin

Action: Passed a motion to approve the Fiscal Year 2017-18 Annual Report Memorandum to City Council.

Ayes: Chair Kelly; Vice-Chair Hill; Committee Members Allen and Amin

Noes: None

5. STAFF LIASON REPORTS

a. Staff Liaison Ortiz provided an overview of and answered Committee Members' questions on the status of the Fiscal Year 2018-19 Expenditure Plan, included as an attachment to the Agenda. She noted the plan is approved by the City Council as part of the budget process including mid-year appropriations for specific projects including the 2019 Patch Paving and Korematsu Safe Routes to School, Phase 1 Project. She indicated that the last two rainy seasons have accelerated pavement deterioration throughout the City, so the 2019 Patch Paving project included a higher contingency amount to address additional locations.

b. Staff Liaison Ortiz provided an overview of and answered Committee Members' questions on the Fiscal Year 2019-20 Expenditure Plan that had been recently approved by City Council in June 2019 and included as an attachment to the Agenda. She indicated that mid-year adjustments are anticipated because contractor bids for projects, such as the Eureka Avenue and Lexington Avenue Street Improvements Projects, have been much higher than the City's engineering estimates.

6. COMMITTEE MEMBER ANNOUNCEMENTS, FUTURE AGENDA ITEMS AND MEETING SCHEDULE

Hear announcements from committee members and set agenda and date for next meeting.

Staff Liaison Ortiz indicated that the next regular meeting is scheduled for September 23, 2019. The typical items on the agenda are the review of the unaudited revenue and expenses for Fiscal Year 2018-19, review of Committee Standing Rules, and election and Chair and Vice-Chair. She indicated that they Committee may want to consider revising their regular meeting schedule to reflect schedule for completion of the annual audit reports.

7. **ADJOURNMENT** The meeting adjourned at 7:45 p.m.



Matt Kelly, Chair

This is to certify that the foregoing is a true and correct copy of the minutes of the Special Meeting of the Citizens Street Oversight Committee meeting of July 15, 2019 approved by the Citizens Street Oversight Committee



Yvetteh Ortiz, Staff Liaison

City of El Cerrito

Presentation to The Citizens Oversight Committee

July 15, 2019

Presented by: Ahmed Badawi, CPA
Partner



Badawi & Associates
Audit of City of El Cerrito and
Agreed-Upon Procedures on the
2008 Sales Tax Revenue Bonds
Master Installment Sale
Agreement

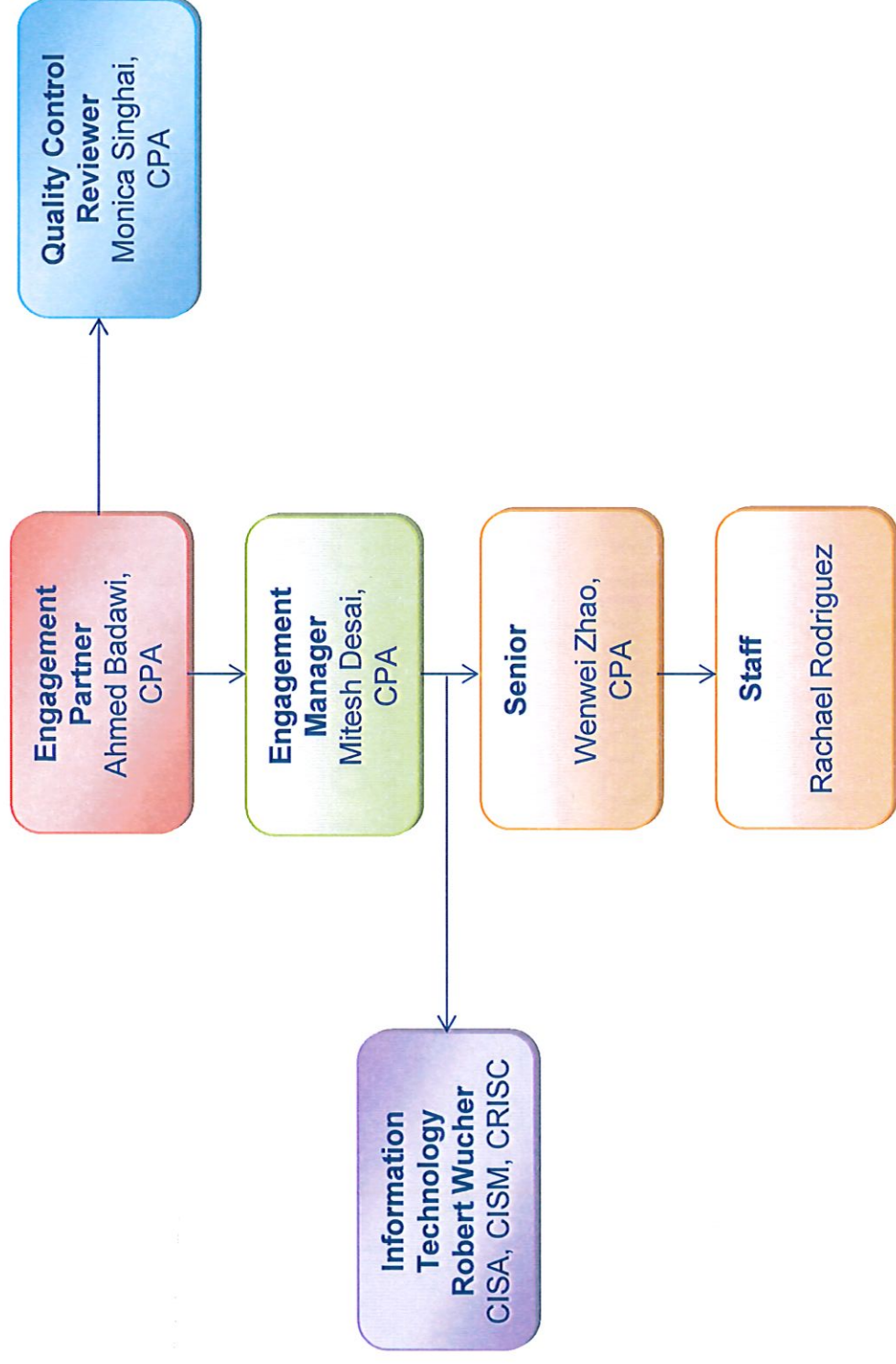
Agenda

- Engagement Team
- Deliverables and Scope of the Audit
- Areas of Primary Emphasis
- Auditors' Reports
- Conclusion & Discussion/Questions

Engagement Team



Engagement Team



Deliverables and Scope of the Audit

- Report of Independent Auditors on City of El Cerrito's Basic Financial Statements (BFS)
- Report on Internal Control Over Financial Reporting and on Compliance and Other Matters
- In-relation opinion on the combining schedule of non-major governmental funds
- Agreed-Upon Procedures on Appropriation Limit Schedule.

Areas of Primary Emphasis

- Revenues
 - Verified Measure A sales tax revenues collected by reconciling to reports published by the State of California
- Expenditures
 - Reviewed expenditures to verify eligibility. *Note* – There are no longer any unspent debt proceeds related to the 2008 Sales Tax Revenue Bonds. Current review includes compliance with Measure A
- Other
 - Obtaining documentation for the defeasance of the 2008 Sales Tax Revenue Bonds by issuance of the 2017 Sales Tax Revenue Refunding Bonds



Auditors Reports

- Unmodified opinion on the City's basic financial statements
- The City audit was performed in accordance with Generally Accepted Auditing Standards and Government Auditing Standards
- No exceptions were noted as a result of applying agreed upon procedures on the master installment sale agreement for the 2008 Sales Tax Revenue Bonds

Financial Statements

and \$1,320,506,000 at June 30, 2008 and 2007

Department of Education

cert



Street Improvement Fund Balance Sheet

ASSETS

Cash and investments	\$ 801,669
Due from other governments	256,717
Total assets	\$ 1,058,386

LIABILITIES, RESOURCES AND FUND BALANCES

Liabilities:

Accounts payable	62,498
Accrued liability	4,888
Total liabilities	67,386

Fund Balances:

Solar project	
Street improvements	991,000
Total fund balances	991,000
Total liabilities and fund balances	\$ 1,058,386

Street Improvement Fund Revenues, Expenditures, and Changes in Fund Balance

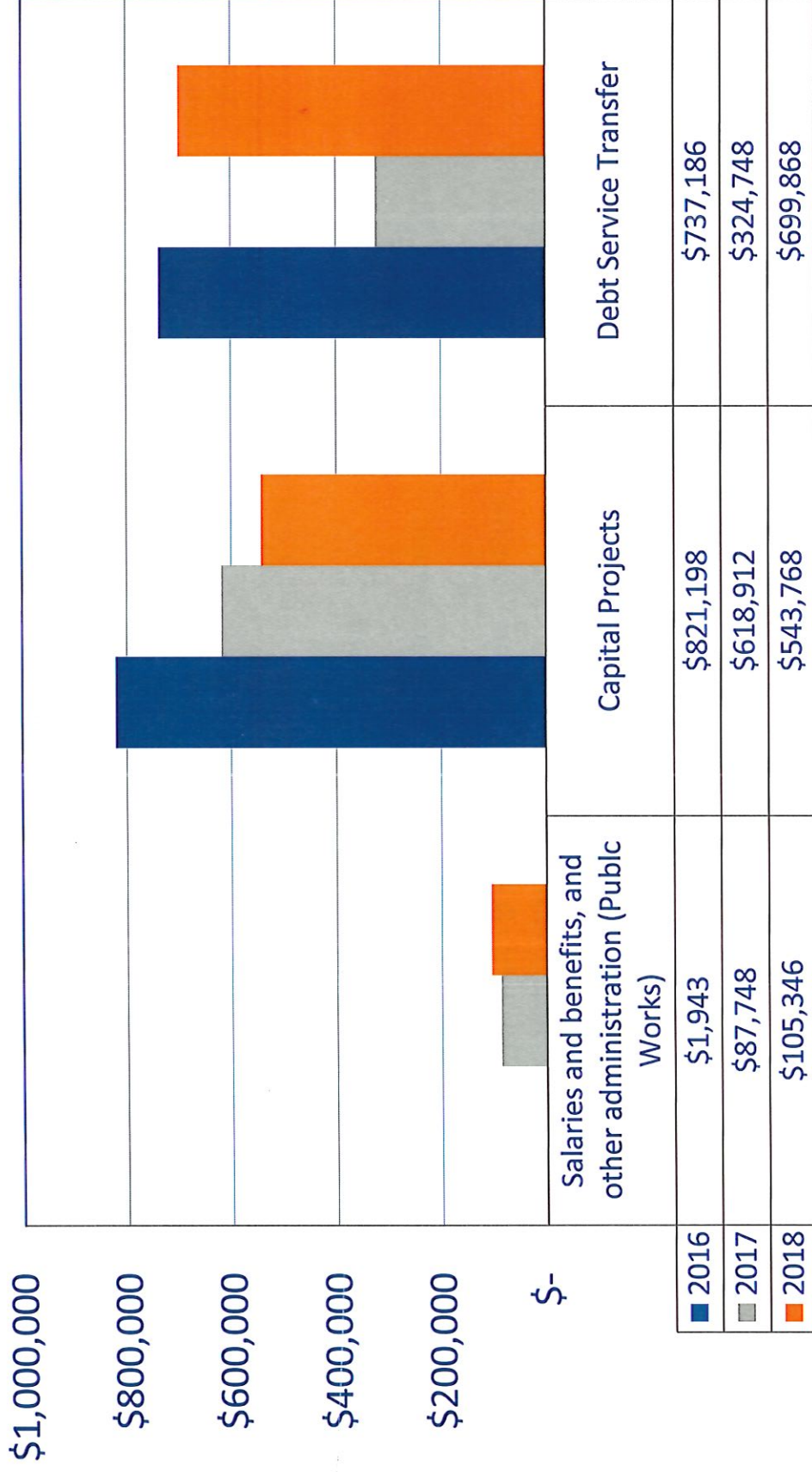
REVENUES:	
Taxes and assessments	\$ 1,590,085
Other revenues	<u>4,718</u>
Total revenues	<u>1,594,803</u>
EXPENDITURES:	
Current:	
General Government	1,800
Public works	103,291
Capital outlay	<u>544,023</u>
Total expenditures	<u>649,114</u>
REVENUES OVER (UNDER) EXPENDITURES	<u>945,689</u>
OTHER FINANCING SOURCES (USES):	
Transfers (out)	<u>(699,868)</u>
Total other financing sources (uses)	<u>(699,868)</u>
Net change in fund balances	245,821
FUND BALANCES (DEFICITS):	
Beginning of year	<u>745,179</u>
End of year	<u>\$ 991,000</u>

Street Improvement Fund

Expenditure and Transfer Summary

Maintenance and Improvement (Including Project Management, Engineering costs, and Construction Services) - by project:		
C3027 - Street Resurfacing 2007, Planning and design, 2015 Slurry Seal Project and 2016 Slurry Seal and Curb Ramp Project	\$	426,961
C3070 - Traffic Safety & Management Program, Planning		32,001
C3074 - 2013-14 Pavement Rehab - OBAG		4,200
C3077 - Central Avenue & Carlson Street Improvement		80,606
Public Works personnel salaries and benefits - non project		103,546
Debt Service		699,868
Administrative costs:		
Other Administrative Costs		1,800
	\$	<u>1,348,982</u>

Street Improvement Fund Expenditures



Thank You For Allowing Us to Provide Audit Services to the City of El Cerrito

